

Taiwan Semiconductor Manufacturing Corp 2330.TW

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EQUITY: FOUNDRY

3Q26F preview: AI cycle is not over; maintain Buy

The October call is likely a non-event, but we raise EPS/TP estimates on N3 capacity upside and mature node price hike

Investors are eager for more, but likely to be unanswered in October

We believe 2026F is largely over for TSMC with its revenue growth (in USD terms) likely tracking at >40% y-y, and our 2026F estimates are broadly unchanged. In our view, the overall AI chip demand remains robust and has not yet reached the cyclical peak yet given hyperscalers' spending upside into 2027F plus more new data center builds (*Anchor Report: Is the cycle over?*). We believe this should continue to drive TSMC's operations, but apparently investors may not be satisfied by just these positive remarks and instead hope to scrutinize how the AI cycle could trend into 2027-28F, particularly given that the bulk of its greenfield capacity (e.g., N3/N2) will come online starting 2028F. However, we think with the January earnings call around the corner, TSMC is unlikely to provide much color in the upcoming earnings and hence, view the results rather a non-event. Our 2026 F/27F/28F capex assumptions of USD62bn/80bn/90bn are also unchanged, but as mentioned in our *Anchor Report in July* about the rising importance of SoIC, we observe more hyperscalers' ASICs slated for 2029F ramp are also in the pipeline on top of nVidia's (NVDA US, Not rated) Feynman GPU-on-GPU stacking in 2028F. In our view, a limited growth in interposer reticle stitching size could give TSMC a breather in CoPoS development, and thus its CoWoS expansion could continue into 2028F. Our prior simulation suggests 2,500-3,500kpcs of annual CoWoS capacity to be formed by 2029F (*report*).

We thus lift 2027F/28F EPS by 5%/8% to mainly factor in our refreshed capacity assumptions (upside led by N3, with purchases of productivity enhancement package to boost EUV throughput) and mature node price hikes. Our new TP of TWD3,615 (from TWD3,425) is based on 25x (unchanged) 2027F EPS of TWD145, near the high end of TSMC's historical band of 10-30x. TSMC now trades at 18x 2027F EPS. TSMC's local shares (P/E based on Bloomberg consensus EPS) are trading at a 9% discount to SOX's one-year forward P/E (21x; based on consensus). We reiterate Buy as we believe TSMC should trade at a premium to SOX due to its AI-enabler position and robust growth outlook.

Pricing and GM divergence between TSMC and memory makers?

While keeping our advanced node price hike assumptions at 5-10% for 2027F, we see higher loadings for mature nodes into 2027F and model mid-single-digit price increases, partly reflecting "resource optimization" amidst constraints. We believe these actions could lift TSMC's GM to 67.2% in 2027F, but more interestingly we note a widening GM gap between a "nearly monopolistic" AI logic foundry (65-70%) vs "oligopolistic" commodity memory makers (>80%), which could suggest a steady uptrend for TSMC's GM going forward.

Year-end 31 Dec		FY25		FY26F		FY27F		FY28F
Currency (TWD)		Actual	Old	New	Old	New	Old	New
Revenue (mn)	3,809,054	5,475,732	5,485,287	7,132,410	7,522,680	8,793,837	9,422,089	
Reported net profit (mn)	1,717,883	2,795,279	2,795,732	3,556,049	3,749,048	4,389,469	4,719,526	
Normalised net profit (mn)	1,717,883	2,795,279	2,795,732	3,556,049	3,749,048	4,389,469	4,719,526	
FD normalised EPS	66.26	107.79	107.82	137.13	144.58	169.27	182.01	
FD norm. EPS growth (%)	46.4	62.7	62.7	27.2	34.1	23.4	25.9	
FD normalised P/E (x)	39.0	—	24.0	—	17.9	—	14.2	
EV/EBITDA (x)	24.8	—	16.0	—	11.5	—	8.7	
Price/book (x)	12.4	—	8.8	—	6.3	—	4.6	
Dividend yield (%)	0.9	—	1.1	—	1.1	—	1.1	
ROE (%)	35.4	43.0	43.0	39.5	41.2	35.8	37.4	
Net debt/equity (%)		net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Increased from TWD 3,425.00 **TWD 3,615.00**

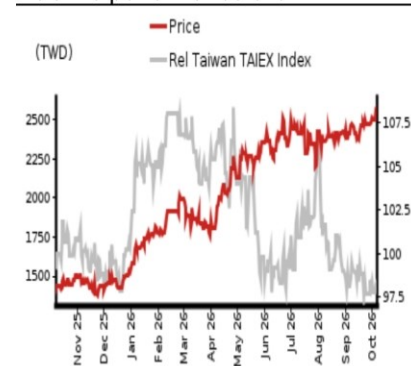
Closing price 7 October 2026 **TWD 2,585.00**

Implied upside **+39.8%**

Market Cap (USD mn) 2,103,922.4

ADT (USD mn) 1,984.8

Relative performance chart



Source: LSEG, Nomura

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Key data on Taiwan Semiconductor Manufacturing Corp

Performance

(%)	1M	3M	12M		
Absolute (TWD)	5.1	5.9	80.1	M cap (USDmn)	2,103,922.4
Absolute (USD)	4.0	6.9	72.1	Free float (%)	90.1
Rel to Taiwan	-0.2	-3.6	-3.0	3-mth ADT (USDmn)	1,984.8
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	2,894,308	3,809,054	5,485,287	7,522,680	9,422,089
Cost of goods sold	-1,269,954	-1,527,760	-1,821,621	-2,465,363	-3,083,438
Gross profit	1,624,354	2,281,294	3,663,666	5,057,317	6,338,651
SG&A	-302,301	-345,202	-456,977	-650,846	-815,179
Employee share expense	0	0	0	0	0
Operating profit	1,322,053	1,936,092	3,206,689	4,406,471	5,523,472
EBITDA	1,984,850	2,624,188	4,034,873	5,515,003	7,027,429
Depreciation	-662,797	-688,096	-828,184	-1,108,532	-1,503,956
Amortisation	0	0	0	0	0
EBIT	1,322,053	1,936,092	3,206,689	4,406,471	5,523,472
Net interest expense	67,781	86,206	101,259	127,968	187,304
Associates & JCEs	4,879	5,497	5,246	5,711	5,711
Other income	11,125	13,868	75,529	4,000	4,000
Earnings before tax	1,405,839	2,041,663	3,388,723	4,544,151	5,720,488
Income tax	-233,407	-326,266	-592,012	-794,227	-1,000,086
Net profit after tax	1,172,432	1,715,397	2,796,711	3,749,924	4,720,402
Minority interests	836	2,486	-979	-876	-876
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	1,173,268	1,717,883	2,795,732	3,749,048	4,719,526
Extraordinary items	0	0	0	0	0
Reported NPAT	1,173,268	1,717,883	2,795,732	3,749,048	4,719,526
Dividends	-440,851	-570,516	-726,106	-726,106	-726,106
Transfer to reserves	732,417	1,147,366	2,069,626	3,022,942	3,993,420

Valuations and ratios

Reported P/E (x)	57.1	39.0	24.0	17.9	14.2
Normalised P/E (x)	57.1	39.0	24.0	17.9	14.2
FD normalised P/E (x)	57.1	39.0	24.0	17.9	14.2
Dividend yield (%)	0.7	0.9	1.1	1.1	1.1
Price/cashflow (x)	36.7	29.5	20.6	14.5	11.3
Price/book (x)	15.6	12.4	8.8	6.3	4.6
EV/EBITDA (x)	33.2	24.8	16.0	11.5	8.7
EV/EBIT (x)	49.7	33.7	20.1	14.4	11.0
Gross margin (%)	56.1	59.9	66.8	67.2	67.3
EBITDA margin (%)	68.6	68.9	73.6	73.3	74.6
EBIT margin (%)	45.7	50.8	58.5	58.6	58.6
Net margin (%)	40.5	45.1	51.0	49.8	50.1
Effective tax rate (%)	16.6	16.0	17.5	17.5	17.5
Dividend payout (%)	37.6	33.2	26.0	19.4	15.4
ROE (%)	30.3	35.4	43.0	41.2	37.4
ROA (pretax %)	30.7	39.9	52.2	55.1	56.8

Growth (%)

Revenue	33.9	31.6	44.0	37.1	25.2
EBITDA	36.5	32.2	53.8	36.7	27.4
Normalised EPS	39.9	46.4	62.7	34.1	25.9
Normalised FDEPS	39.9	46.4	62.7	34.1	25.9

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,984,850	2,624,188	4,034,873	5,515,003	7,027,429
Change in working capital	-90,016	30,788	-88,169	-237,627	-295,742
Other operating cashflow	-68,657	-380,000	-689,698	-662,258	-808,782
Cashflow from operations	1,826,177	2,274,976	3,257,005	4,615,118	5,922,904
Capital expenditure	-955,112	-1,271,613	-1,972,880	-2,559,200	-2,879,100
Free cashflow	871,065	1,003,362	1,284,125	2,055,918	3,043,804
Reduction in investments	-57,882	-37,079	-42,774	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	148,151	164,299	37,883	0	0
CF after investing acts	961,334	1,130,582	1,279,233	2,055,918	3,043,804
Cash dividends	-363,055	-466,779	-622,380	-726,106	-726,106
Equity issue	0	0	0	0	0
Debt issue	55,866	40,448	-7,999	0	0
Convertible debt issue	0	0	0	0	0
Others	8,054	-64,022	26,942	0	0
CF from financial acts	-299,135	-490,353	-603,437	-726,106	-726,106
Net cashflow	662,199	640,229	675,796	1,329,811	2,317,698
Beginning cash	1,465,428	2,127,627	2,767,856	3,443,652	4,773,464
Ending cash	2,127,627	2,767,856	3,443,652	4,773,464	7,091,161
Ending net debt	-1,109,340	-1,734,869	-2,411,979	-3,741,790	-6,059,488

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,127,627	2,767,856	3,443,652	4,773,464	7,091,161
Marketable securities	357,531	360,441	463,827	463,827	463,827
Accounts receivable	272,088	282,059	562,290	716,029	892,557
Inventories	287,869	288,109	503,859	621,507	788,696
Other current assets	43,237	118,664	139,999	139,999	139,999
Total current assets	3,088,352	3,817,131	5,113,628	6,714,825	9,376,240
LT investments	149,040	172,370	230,059	235,770	241,481
Fixed assets	3,234,980	3,691,841	4,966,793	6,417,461	7,792,605
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	219,565	251,682	279,138	279,138	279,138
Total assets	6,691,938	7,933,024	10,589,617	13,647,194	17,689,464
Short-term debt	59,858	136,926	167,410	167,410	167,410
Accounts payable	74,227	84,330	144,582	178,341	226,315
Other current liabilities	1,130,441	1,236,763	1,605,658	1,605,658	1,605,658
Total current liabilities	1,264,525	1,458,019	1,917,649	1,951,408	1,999,383
Long-term debt	958,429	896,062	864,264	864,264	864,264
Convertible debt	0	0	0	0	0
Other LT liabilities	145,408	118,147	179,158	179,158	179,158
Total liabilities	2,368,362	2,472,229	2,961,071	2,994,830	3,042,805
Minority interest	35,031	41,199	42,391	43,267	44,142
Preferred stock	0	0	0	0	0
Common stock	332,588	332,771	331,615	331,615	331,615
Retained earnings	3,917,252	5,103,502	7,204,750	10,227,692	14,221,112
Proposed dividends	0	0	0	0	0
Other equity and reserves	38,705	-16,676	49,791	49,791	49,791
Total shareholders' equity	4,288,545	5,419,596	7,586,156	10,609,097	14,602,517
Total equity & liabilities	6,691,938	7,933,024	10,589,617	13,647,194	17,689,464

Liquidity (x)

Current ratio	2.44	2.62	2.67	3.44	4.69
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (TWD)	45.25	66.26	107.82	144.58	182.01
Norm EPS (TWD)	45.25	66.26	107.82	144.58	182.01
FD norm EPS (TWD)	45.25	66.26	107.82	144.58	182.01
BVPS (TWD)	165.37	208.99	292.54	409.11	563.10
DPS (TWD)	17.00	22.00	28.00	28.00	28.00

Activity (days)

Days receivable	29.9	26.6	28.1	31.0	31.2
Days inventory	77.4	68.8	79.3	83.3	83.7
Days payable	18.9	18.9	22.9	23.9	24.0
Cash cycle	88.4	76.4	84.5	90.4	90.9

Source: Company data, Nomura estimates

Company profile

Founded in 1987, Taiwan Semiconductor Manufacturing Corp. is a leading foundry player with the most advanced process technology.

Valuation Methodology

Our TP of TWD3,615 is based on 25x 2027F EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price

Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

ESG

TSMC officially sets “Acting with Integrity”, “Strengthening Environmental Protection”, and “Caring for the Disadvantaged” as its primary ESG mission.

Financial analysis and forecasts

Fig. 1: TSMC — 2026-28F forecast revisions

(TWD mn)	2026F			2027F			2028F		
	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Revenue	5,485,287	5,475,732	0.2%	7,522,680	7,132,410	5.5%	9,422,089	8,793,837	7.1%
Gross profit	3,663,666	3,657,933	0.2%	5,057,317	4,781,244	5.8%	6,338,651	5,879,974	7.8%
Operating profit	3,206,689	3,200,638	0.2%	4,406,471	4,161,486	5.9%	5,523,472	5,115,849	8.0%
Pretax profit	3,388,723	3,387,948	0.0%	4,544,151	4,309,901	5.4%	5,720,488	5,320,075	7.5%
Net profit	2,795,732	2,795,279	0.0%	3,749,048	3,556,049	5.4%	4,719,526	4,389,469	7.5%
EPS (TWD)	107.82	107.79	0.0%	144.58	137.13	5.4%	182.01	169.27	7.5%
Margin	Revised	Previous	Change	Revised	Previous	Change	Revised	Previous	Change
Gross margin	66.8%	66.8%	-1bps	67.2%	67.0%	19bps	67.3%	66.9%	41bps
Operating margin	58.5%	58.5%	1bps	58.6%	58.3%	23bps	58.6%	58.2%	45bps
Pretax margin	61.8%	61.9%	-9bps	60.4%	60.4%	-2bps	60.7%	60.5%	22bps
Net margin	51.0%	51.0%	-8bps	49.8%	49.9%	-2bps	50.1%	49.9%	17bps

Source: Nomura estimates

Fig. 2: TSMC's P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Revenue	839,254	933,792	989,918	1,046,090	1,134,103	1,270,380	1,465,171	1,615,632	1,687,428	1,824,731	1,953,153	2,057,369	3,809,054	5,485,287	7,522,680	9,422,089
Revenue (USD mn)	25,526	30,070	33,097	33,731	35,898	40,201	45,801	50,504	52,749	57,041	61,055	64,313	122,424	172,404	235,157	294,532
Gross profit	493,395	547,369	588,543	651,987	751,295	860,311	972,366	1,079,694	1,128,688	1,217,202	1,315,134	1,396,293	2,281,294	3,663,666	5,057,317	6,338,651
- Opex	(85,186)	(84,508)	(87,764)	(88,191)	(94,006)	(98,982)	(131,159)	(139,781)	(145,993)	(157,872)	(168,982)	(177,999)	(345,650)	(463,928)	(650,846)	(815,179)
Operating profit	407,081	463,424	500,685	564,902	658,966	766,603	841,207	939,913	982,696	1,059,330	1,146,152	1,218,294	1,936,092	3,206,689	4,406,471	5,523,472
Pretax profit	430,895	493,035	525,369	592,363	687,800	862,430	869,165	969,328	1,013,498	1,092,141	1,181,424	1,257,089	2,041,663	3,388,723	4,544,151	5,720,488
Net profit	361,564	398,273	452,301	505,744	572,480	706,562	717,024	799,666	836,125	901,026	974,714	1,037,184	1,717,883	2,795,732	3,749,048	4,719,526
EPS (TWD)	13.95	15.36	17.44	19.51	22.08	27.25	27.65	30.84	32.24	34.75	37.59	40.00	66.26	107.82	144.58	182.01
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	58.8%	58.6%	59.5%	62.3%	66.2%	67.7%	66.4%	66.8%	66.9%	66.7%	67.3%	67.9%	59.9%	66.8%	67.2%	67.3%
- Opex ratio	-10.2%	-9.1%	-8.9%	-8.4%	-8.3%	-7.8%	-9.0%	-8.7%	-8.7%	-8.7%	-8.7%	-8.7%	-9.1%	-8.5%	-8.7%	-8.7%
Operating margin	48.5%	49.6%	50.6%	54.0%	58.1%	60.3%	57.4%	58.2%	58.2%	58.1%	58.7%	59.2%	50.8%	58.5%	58.6%	58.6%
Pretax margin	51.3%	52.8%	53.1%	56.6%	60.6%	67.9%	59.3%	60.0%	60.1%	59.9%	60.5%	61.1%	53.6%	61.8%	60.4%	60.7%
Net margin	43.1%	42.7%	45.7%	48.3%	50.5%	55.6%	48.9%	49.5%	49.6%	49.4%	49.9%	50.4%	45.1%	51.0%	49.8%	50.1%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F				
Revenue	-3.4%	11.3%	6.0%	5.7%	8.4%	12.0%	15.3%	10.3%	4.4%	8.1%	7.0%	5.3%				
Revenue (in USD)	-5.1%	17.8%	10.1%	1.9%	6.4%	12.0%	13.9%	10.3%	4.4%	8.1%	7.0%	5.3%				
Gross profit	-3.7%	10.9%	7.5%	10.8%	15.2%	14.5%	13.0%	11.0%	4.5%	7.8%	8.0%	6.2%				
Operating profit	-4.4%	13.8%	8.0%	12.8%	16.7%	16.3%	9.7%	11.7%	4.6%	7.8%	8.2%	6.3%				
Pretax profit	-4.0%	14.4%	6.6%	12.8%	16.1%	25.4%	0.8%	11.5%	4.6%	7.8%	8.2%	6.4%				
Net profit	-3.5%	10.2%	13.6%	11.8%	13.2%	23.4%	1.5%	11.5%	4.6%	7.8%	8.2%	6.4%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Revenue	41.6%	38.6%	30.3%	20.5%	35.1%	36.0%	48.0%	54.4%	48.8%	43.6%	33.3%	27.3%	31.6%	44.0%	37.1%	25.2%
Revenue (in USD)	35.3%	44.4%	40.8%	25.5%	40.6%	33.7%	38.4%	49.7%	46.9%	41.9%	33.3%	27.3%	35.9%	40.8%	36.4%	25.2%
Gross profit	56.9%	52.8%	34.0%	27.2%	52.3%	57.2%	65.2%	65.6%	50.2%	41.5%	35.3%	29.3%	40.4%	60.6%	38.0%	25.3%
Operating profit	63.5%	61.7%	38.8%	32.7%	61.9%	65.4%	68.0%	66.4%	49.1%	38.2%	36.3%	29.6%	46.4%	65.6%	37.4%	25.3%
Pretax profit	61.7%	61.0%	36.7%	32.0%	59.6%	74.9%	65.4%	63.6%	47.4%	26.6%	35.9%	29.7%	45.2%	66.0%	34.1%	25.9%
Net profit	60.3%	60.7%	39.1%	35.0%	58.3%	77.4%	58.5%	58.1%	46.1%	27.5%	35.9%	29.7%	46.4%	62.7%	34.1%	25.9%

Source: Company data, Nomura estimates

Fig. 3: Nomura forecasts vs Bloomberg consensus for 2026-28F

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Revenue	5,485,287	5,463,305	0.4%	7,522,680	7,457,280	0.9%	9,422,089	9,508,708	-0.9%
Gross profit	3,663,666	3,651,345	0.3%	5,057,317	4,976,467	1.6%	6,338,651	6,371,690	-0.5%
Operating profit	3,206,689	3,246,176	-1.2%	4,406,471	4,468,273	-1.4%	5,523,472	5,551,934	-0.5%
Pretax profit	3,388,723	3,422,922	-1.0%	4,544,151	4,618,341	-1.6%	5,720,488	5,725,804	-0.1%
Net profit	2,795,732	2,835,771	-1.4%	3,749,048	3,830,562	-2.1%	4,719,526	4,846,618	-2.6%
EPS (TWD)	107.82	108.16	-0.3%	144.58	144.87	-0.2%	182.01	182.11	-0.1%
Margin	NMR	BBG	Diff.	NMR	BBG	Diff.	NMR	BBG	Diff.
Gross margin	66.8%	66.8%	-4bps	67.2%	66.7%	49bps	67.3%	67.0%	27bps
Operating margin	58.5%	59.4%	-96bps	58.6%	59.9%	-134bps	58.6%	58.4%	23bps
Pretax margin	61.8%	62.7%	-87bps	60.4%	61.9%	-152bps	60.7%	60.2%	50bps
Net margin	51.0%	51.9%	-94bps	49.8%	51.4%	-153bps	50.1%	51.0%	-88bps

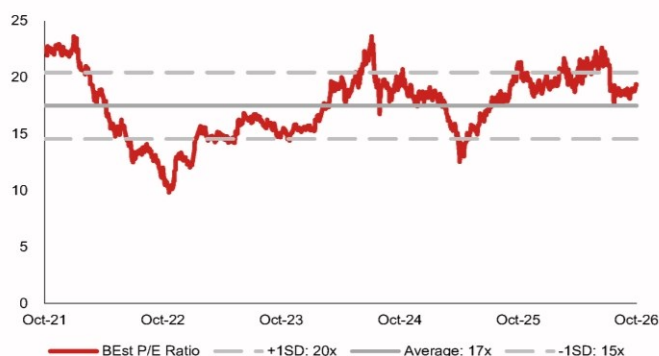
Source: Bloomberg Finance L.P. consensus, Nomura estimates

Valuation methodology and risks

Our new TP of TWD3,615 (TWD3,425 earlier) is based on 25x (unchanged) 2027F EPS of TWD145. Our target P/E multiple is at the higher end of TSMC's historical range of 10-30x. The stock is currently trading at 18x 2027F EPS.

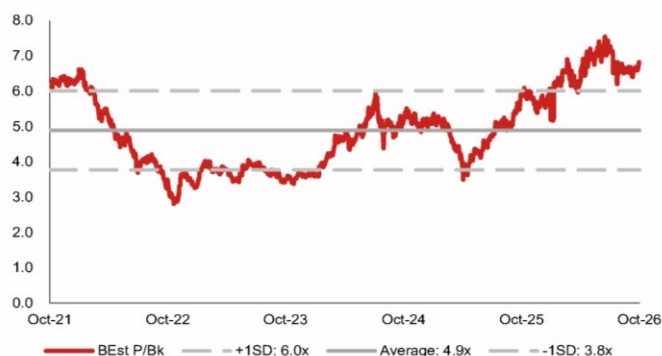
Major downside risks: 1) top-down macro issues owing to the ongoing US-China trade tensions; 2) weaker-than-expected sell-through compared with the strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Fig. 4: TSMC's consensus P/E ratio



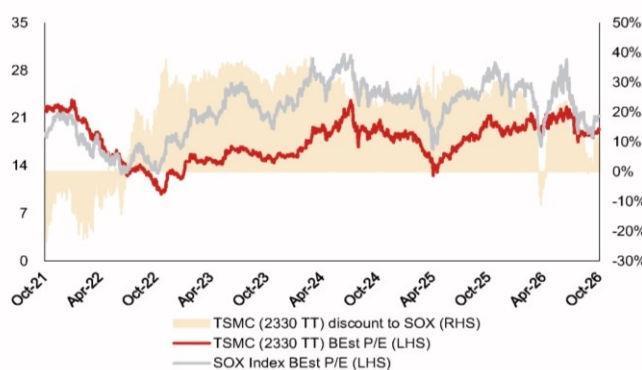
Source: Bloomberg Finance L.P., Nomura research

Fig. 5: TSMC's consensus P/B ratio



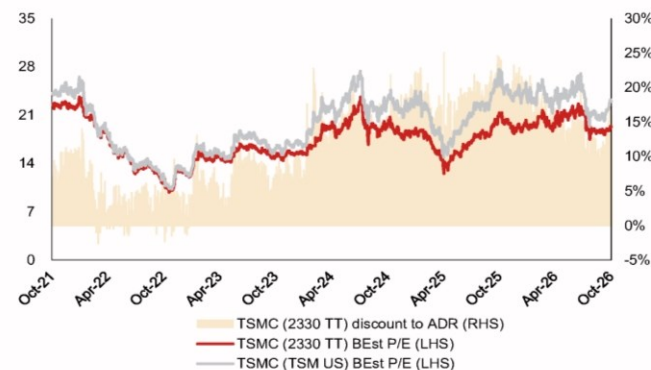
Source: Bloomberg Finance L.P., Nomura research

Fig. 6: TSMC — valuation vs. SOX Index



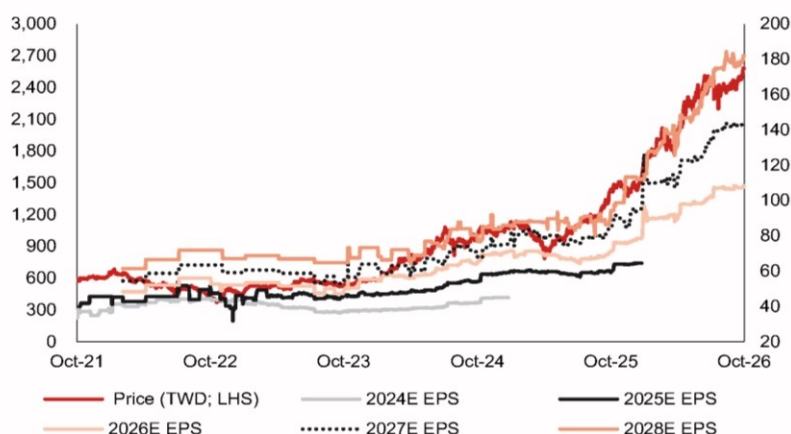
Source: Bloomberg Finance L.P., Nomura research

Fig. 7: TSMC — valuation vs. TSMC's ADR



Source: Bloomberg Finance L.P., Nomura research

Fig. 8: TSMC's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P. consensus estimates, Nomura research

Appendix A-1

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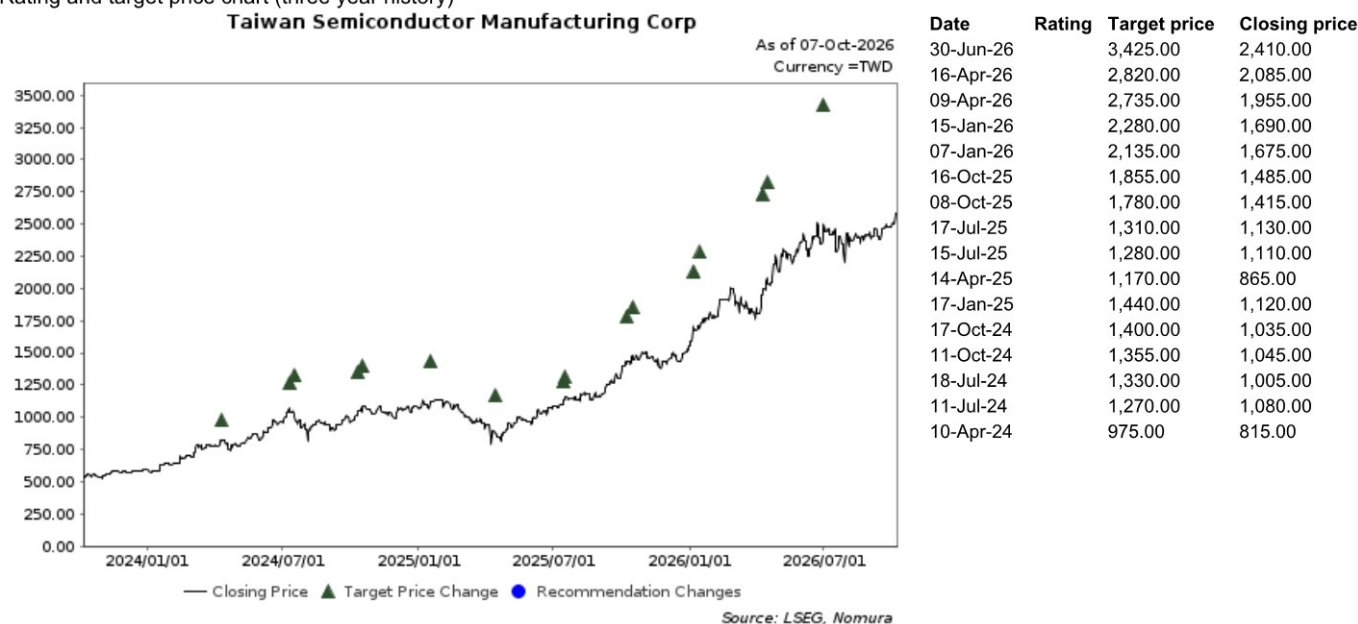
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,585.00	07-Oct-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT)

TWD 2,585.00 (07-Oct-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD3,615 is based on 25x 2027F EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

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As at 30 September 2026.

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